Lido Curated Set Migration Program



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Summary of the Opportunity

The Obol Migration Program is a strategic initiative to support Lido Curated Set Node Operators to adopt Obol's Distributed Validators (DVs). Lido is signaling its desire for broader adoption of DVs, starting with 1,000 keys per operator. This opportunity provides Operators with a controlled, low risk opportunity to gain real-world exposure to Obol DVs without requiring large-scale migration or operational risk.

Once Operators have experience in running single-operator Obol DVs, they will have a strong foundation from which to make a decision whether to further adopt DVs when Lido increases key limits within the Curated Module.

To support Operator adoption for the initial 1,000 keys, we have created the Obol Migration Program. In the next sections we cover why Lido is adopting DVs, how Obol is the leader in DV performance, Technology, Incentives, and how we propose to support Operators via a bespoke Migration Project as well as on-going Enterprise Support.



1.

Lido Recommends Adopting DVT



Lido Recommends Adopting DVT

On 12 June 2025, Will Shannon, Head of Strategic Initiatives and Core Contributor to the Lido DAO, posted on the Lido Governance forum a proposal titled "Curated Module Intra-Operator DVT Guidelines", officially opening the discussion to introduce Distributed Validators (DVs) into the Curated Module. These DV clusters will initially be solo-operator setups, not multi-operator. Lido's strategic vision is clear: DVT represents the next era in Ethereum staking – one that prioritizes key security, fault tolerance, client diversity, and decentralization at scale.

Distributed Validators have been part of the Ethereum Roadmap since Ethereum moved to Proof-of-Stake. With the emergence of Obol and SSV as Distributed Validator providers (both funded initially by grants from the Ethereum Foundation), the Distributed Validator section of the roadmap was marked complete, with the EF continuing to be supportive of the adoption of DVs in Ethereum.

With both Obol and SSV now battle-tested and demonstrating strong track records with significant stake on the network, DVT adoption continues to grow. DVT is central to Lido's future roadmap.

What is clear is that over time, Lido plans to increase the share of its stake on DVs.

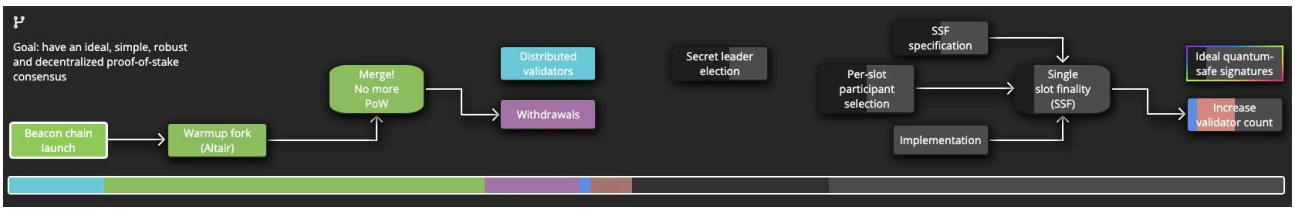


Image Source: Ethereum Roadmap – The Merge via ethroadmap.com

DV Adoption Across All Modules



- **Simple DVT Module & DVs:** The use of DVs within Lido started with the creation of the Simple DVT Module, which currently holds 4% of Lido stake (and will continue to increase over time).



- **Community Staking Module & DVs:** Early in 2025, the Community Staking Module (CSM) was introduced with operators being encouraged to form DV squads within the CSM.



- **Curated Module & DVs:** Now, following Will Shannon's post in the Lido Governance Forum, Lido is keen to see DV adoption within the Curated Module. Initially, the amount of stake per operator that can be run on DVs will be limited to 1,000 keys, but over time this limit will increase. Note that we expect the Pectra Consolidations functionality to become the mandatory way of migrating Curated Set stake in the future, with this initial set of 1,000 keys being an exception.

Lido V3

- **Lido v3 Vaults & DVs:** With the upcoming launch of Lido v3, vaults running on DVs will receive preferential treatment through an improved Reserve Ratio, allowing them to mint a greater share of their vault's ETH into stETH. This is another strong signal that Lido sees DVT as the superior architecture for delivering the highest risk-adjusted returns.



There is no doubt that DVs will play a central role in the future of Lido. As Will Shannon has stated, the reason Lido is keen to see the adoption of DVs is the "strong performance and many of the inherent benefits that DVT provides (e.g. infrastructure resilience and decentralization)."

2.

Obol is the Clear Leader



Obol is the Clear Leader

As DV adoption accelerates across Ethereum, Obol has emerged as the fastest growing DVT provider — trusted by institutions, integrated by the Ethereum Foundation, and securing more than $1.5 billion in staked ETH on mainnet.

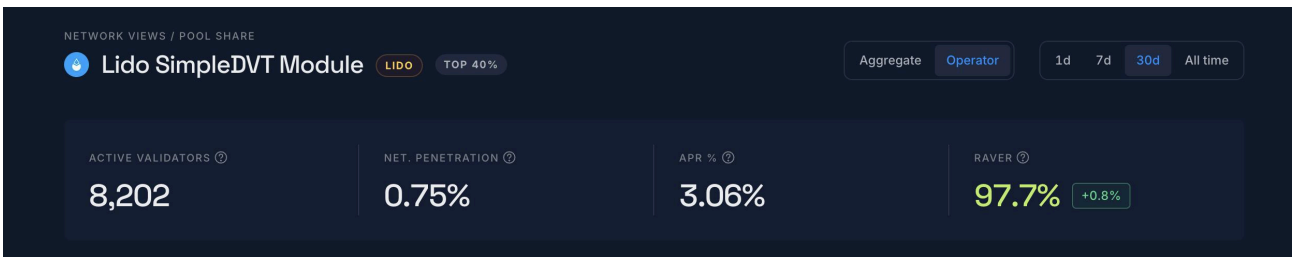
In the last 12 months, Obol adoption has grown by over 60x, with top-tier institutional operators such as Bitcoin Suisse, Blockdaemon, and Liquid Collective choosing Obol to improve key security, fault tolerance, and regulatory readiness.

Institutions choose Obol for three key reasons:

- **Isolated Clusters:** Obol clusters are fully independent: no shared network, no single point of failure, and full compatibility with all core Ethereum clients. Our middleware architecture offers superior composability and upgrade management.
- **No Exotic Token Dependencies:** Obol DVs require only ETH to operate. There are no ERC-20 requirements that risk validator failure or token liquidations.
- **Industry Trust & Alignment:** Obol is a founding member of the Node Operator Risk Standard (NORS), a member of the Proof of Stake Alliance (POSA), and partners with staking insurance providers like Chainproof and Relm. Obol infrastructure is also used in regulated environments, such as Quay Cove, New Zealand's first Staked ETH fund.

With Lido enabling 1,000 keys to run on DVs, Curated Module operators can take advantage of the safe, controlled environment to begin integrating DVT into their infrastructure. Running Obol DVs in this context provides real-world exposure to fault-tolerant operations and measurable performance improvements without requiring large-scale migration or operational risk.

With the experience of running 1,000 keys on Obol DVs, operators will have a strong foundation from which to make a decision whether to further adopt DVs once Lido enables more Curated Module stake to migrate to DVs.



Source: Lido SimpleDVT Module on Rated Explorer (30-Day View) — rated.network

Why Obol

Performance

Obol is the best performing DV solution. Obol shares a module in Lido called the Simple DVT (SDVT). This module is tracked on Rated which measures validator effectiveness of different node operators and staking protocols.

Obol has consistently outperformed both the Curated Set Module average and the SSV performance average within the SDVT module.

Another more granular view is to look at the last 30 days performance in the SDVT module and filter by top performance DVs. Almost all top performing Clusters in Lido's SDVT Module are Obol and this has been the consistent picture over the last 6 months.



NETWORK VIEWS / POOL SHARE / LIDO SIMPLEDVT MODULE LIDO TOP 50% Aggregate Operator 1d 7d 30d All time

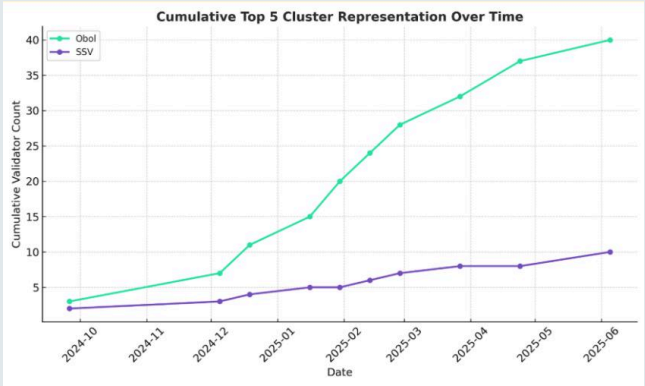
Obol - Lustrous Leopard	0.007%	3.46%	98.41%
Obol - Divine Dragon	0.03%	3.09%	98.36%
SSV - Unique Unicorn	0.007%	4.01%	98.32%
Obol - Zephyr Zorilla	0.007%	3.04%	98.27%
SSV - Arid Anubis	0.03%	3.36%	98.22%
Obol - Unfettered Urial	0.007%	3.13%	98.22%
Obol - Xeric Xiphosuran	0.007%	2.95%	98.21%
SSV - Blazing Basilisk	0.03%	2.92%	98.19%
Obol - Majestic Moose	0.007%	N/A	98.19%
Obol - Quixotic Quail	0.007%	3.20%	98.18%
SSV - Thoughtful Tiger	0.007%	2.90%	98.13%
Obol - Harmonious Hawk	0.007%	3.08%	98.12%

Feedback

Source: Lido SimpleDVT Module on Rated Explorer (All Time View) — rated.network

Head-to-Head Comparison in SDVT

- Over the past 8 months, **Obol performed consistently higher** than SSV across all time periods.
- **80%** of all top 5 slots occupied by Obol validators.



Detailed Breakdown of Top 5 Clusters over 8 Months

Obol DVs Outperform Traditional Validators

	Traditional Validators	OBOL DVs
Raver	97.35%	98.63%
Uptime	99.8%	100%
Correctness	98.8%	99.4%

LIVE ON ETHEREUM MAINNET	SECURING OVER	SLASHING INCIDENTS
24+ months	**$1.5B in ETH**	**0**

Why Obol

Technology

Minimal Code
Middleware

Ship Faster
No Hard Forks

No Token Risk
Only ETH

We Don't Touch the Keys
Work with all EL, CL, and VC

No Network Dependencies
Isolated Clusters

No Key in One Place
DKG

Key Benefit #1

Independent Cluster Architecture - No Network Risk

- Obol operates as independent clusters rather than a unified network.
- Different software versions can run simultaneously across nodes and clusters.
- No possibility of network-wide hard forks that force an upgrade.

Critical benefit: Ensures faults are isolated. Performance or upgrade issues in one cluster cannot affect any others.

Key Benefit #2

Key Security and Composability

- Obol's middleware, Charon, sits between the VC and CL and never accesses the full private key unlike other DV solutions.
- Charon is compatible with all EL, CL, and VC combinations.
- No single node holds the full validator private key.

Critical benefit: Eliminates single points of failure in key management and enables operators to customize infrastructure with maximum security and flexibility.

Key Benefit #3

No ERC-20 Requirement

- Validators operate using only ETH.
- No risk of token liquidations or offline penalties
- Contrast with SSV: Requires maintaining minimum SSV token balance to continue validator operations

Critical benefit: Eliminates risk of validator failure due to utility token balance falling below thresholds.

> *Node Operators planning to utilize DVT are encouraged to use the opportunity to increase the resilience of their infrastructure by adopting new EL & CL client pairs, which would also benefit the decentralization of the network.*



Will Shannon
Lido Governance Forum post

	OBOL DVT	Other DVT
Byzantine & crash fault tolerant	✅	✅
Key shares reduce slashing risk	✅	✅
Swappable cluster participants	➡ SOON	✅
Non-custodial reward splits	✅	?
No private keys put on chain	✅	❌
Clusters can upgrade independently	✅	❌
Clusters can run on private networks	✅	❌
Unlimited validators per cluster	✅	❌
Works with existing validator clients and PKI	✅	❌
No non-ETH token risk	✅	❌

We acknowledge the presence of alternative DV solutions in the market. We welcome the opportunity to discuss the distinct characteristics and risk profiles of different approaches

Why Obol

Incentives

Node Operators will receive 20% of the incentives generated by staking on DVs with the remaining 80% claimed by Lido. These incentives will come from the Obol Incentive Program.
Obol delivers maximum rewards combined with a long-term program designed to provide the best incentive structure for staking partners, including Lido Curated Set Operators.

For this Lido Curated Set Migration Program, node Operators can expect a large APY Boost. This offer is underpinned by a long term, fully funded, and sustainable incentive program design which means that Operators can have confidence that the Obol Incentive Program will be around for the long term.

Feature	OBOL Program	Other DVT Providers
APR Boost	Estimate 5%+	6% moving to 5% then lower
Duration	Designed to last at least 3 years	Ends Dec 2025
Token Allocation	Fixed: 12.5M OBOL tokens per year	Unlimited (mint as needed)
Distribution	Weekly	Monthly
Token Emissions	Fully Funded No new emissions	Unfunded New tokens minted as needed
Program Allocation and Supply Impact	Fixed allocation for sustainability	~12.1% of circulating supply needed to fund the program for one year, with inflation risk given constant minting
Summary	Certainty around duration of incentive program with uncapped APR upside	Short term (6 month) APR certainty

Additional Details

- Tokens are distributed proportionally across all qualified validators in the program.
- The only requirements are staking on Obol DVs and directing the Obol Fee to the Obol Association.
- Partners can claim Obol Incentives weekly through flexible options tailored to their specific needs.

Waiving the Obol Fee

To support curated set operators and drive adoption of Obol DVs, we're **waiving the Obol Fee entirely for the first 6 months**. This will be followed by a **reduced fee (0.3%) for the subsequent 6 months**, providing operators a clear runway to integrate and scale with minimal cost.

High Upside

Were the Obol token to appreciate in value, Operators would receive a higher APY Boost. As an example:

- At an FDV of $250M (OBOL $0.50), the Obol Incentive Program would yield an estimated 10% APR boost
- At an FDV of $500M (OBOL $1.00), the Obol Incentive Program would yield an estimated 20% APR boost

Bottom Line: Obol's design allows for long-term program sustainability by avoiding unpredictable token minting requirements that can destabilize token value. We are entering a phase where initial CEX listing & airdrop sell pressure has ended, and numerous upcoming positive catalysts are expected to bring in additional buy pressure.

3.

Customer Success and Implementation



Customer Success and Implementation

Enterprise Support

DV Labs, the core engineering team behind Obol, provides hands-on support throughout your migration to Distributed Validators. Our team offers optional monitoring access to help identify issues early, streamline debugging, and ensure your validators run optimally from day one.

While our general documentation outlines the technical process, we understand that migrating hundreds of millions in stake is not a one-size-fits-all approach. Each operator will receive a tailored migration plan based on their current infrastructure and operational preferences.

Unlike other DVT implementations, Obol clusters operate independently, so upgrades are not synchronized or urgent across all validators. If any urgent action is ever needed, you'll be contacted directly by our Customer Success team.

White-Glove Support Structure

- Dedicated Customer Success Manager assigned to your migration.
- Step-by-step guidance via CLI walkthroughs and optional live support
- 24/7 technical support during migration windows with real-time monitoring.
- Proactive monitoring identifies potential issues before they impact performance.
- Direct communication channels: dedicated Discord for technical support, Telegram for business discussions. Always available for a sync in urgent situations.

Key Splitting: Simple and Secure

Key splitting is the most critical step in migrating to a Distributed Validator. All that's needed are the original validator keystores and their associated passwords. From there, our team will walk you through a single command: charon create cluster, which securely generates the required keyshares for your cluster.

To date, **$1B in staked ETH** is secured on Obol DVs using keys that were split via this exact process — including by partners like EtherFi. You're in good company.

Implementation Overview

Obol migrations follow a proven 12-week framework — but it's important to note that most operators are live on mainnet within 6 weeks. The remaining time is dedicated to ongoing monitoring, performance tuning, and optimizations to ensure your validators perform rock-solid at scale.

Every engagement is supported by a dedicated Customer Success Manager and Obol's core engineering team. A detailed step-by-step migration guide — including CLI examples, key management best practices, and performance checkpoints — will be provided during onboarding.

Example 12 Week PoC Implementation Plan

Phase 1

Planning & Design
(2 Weeks)

- Technical Orientation about Obol DVs
- Infrastructure Review: Understanding the current setup to map out Obol DV deployment architecture.
- PoC Success Metrics: Identifying key test metrics (latency, efficiency, fault tolerance, hardware utilization).
- Migration Playbook: Creating a step-by-step deployment plan with fallback mechanisms including a clear playbook for the 1,000 key split process.

Phase 2

Testnet Deployment & Validation
(4 Weeks)

- Guided Deployment: Hands-on engineering support to configure and launch the first DV cluster on testnet. (Lido Mandatory Hoodi Testing)
- Operational Training: Walkthrough of monitoring tools, failure recovery, and validator performance tuning.
- Performance Measurement: Analyzing key metrics, logging data, and comparing with the industry staking benchmarks.

Phase 3

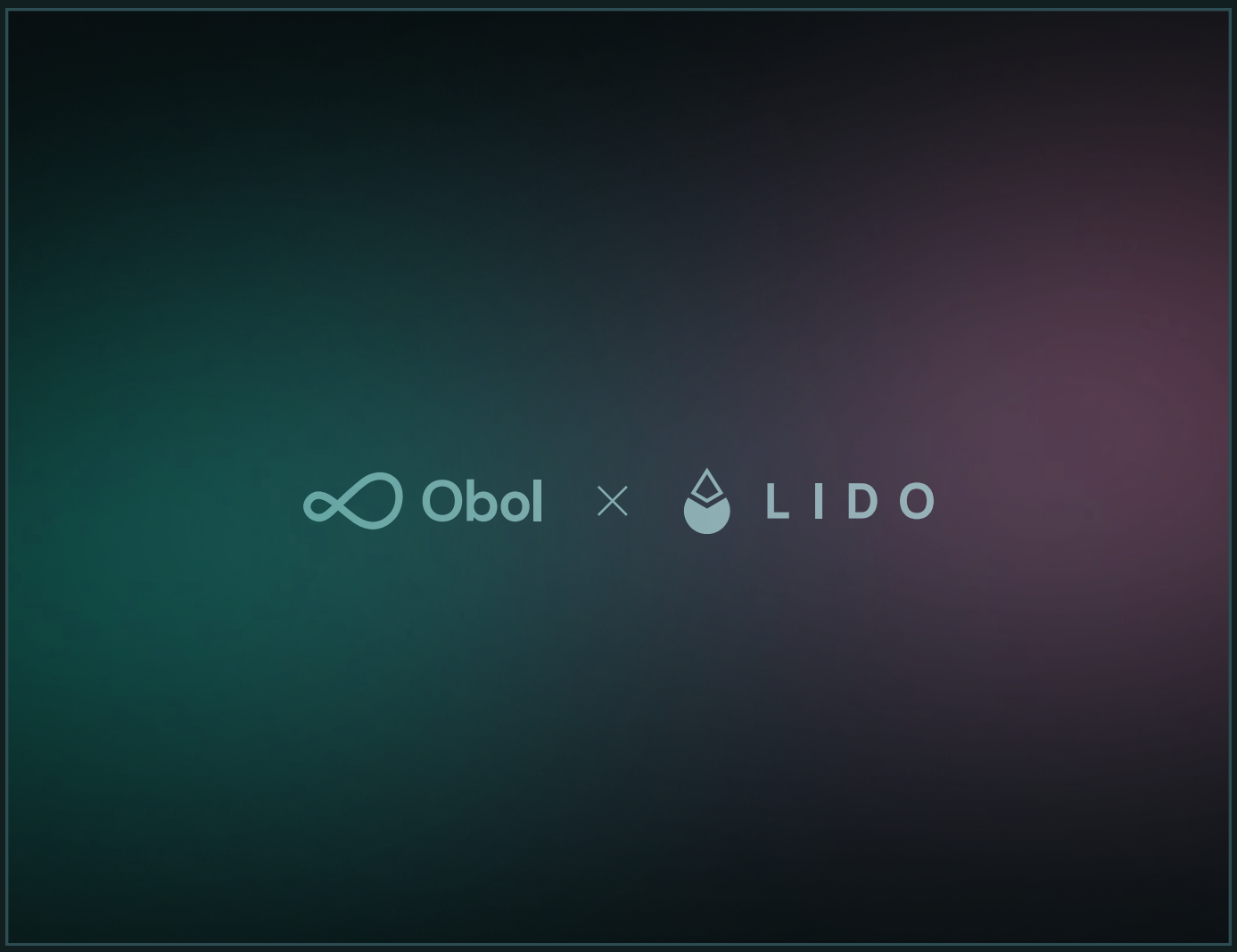
Mainnet Deployment & Validation
(4 Weeks)

- Guided Deployment: Hands-on engineering support to configure and launch the first DV cluster on mainnet.
- Operational Training: Walkthrough of monitoring tools, failure recovery, and validator performance tuning.
- Performance Measurement: Analyzing key metrics, logging data, and comparing with the industry staking benchmarks.

Phase 4

Review & Optimization
(2 Weeks)

- Evaluation Report: Assessment of DV impact on infrastructure reliability, security, and performance.
- Lessons Learned & Optimization: Identifying refinements for potential mainnet deployment.
- Migration & Scale-up Strategy: Outlining a structured path for gradual integration into mainnet operations.



About Obol

The Obol Collective is the leader in institutional grade staking infrastructure and the champion of Distributed Validators. We bring better performance, more rewards and less risks to Ethereum & other decentralized infrastructure networks.